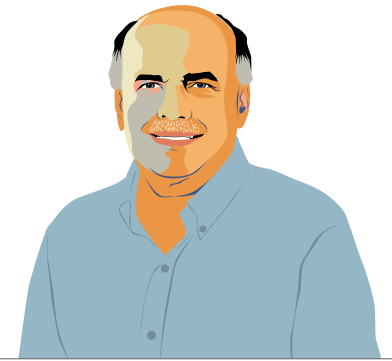


Helping More Indians Fly

We need to think and dream big, and combine that with flawless and speedy execution, accompanied by deep reforms



WHILE MANY SECTORS have grown by leaps and bounds, a measly 3-4% of Indians travel by air.

What ails the industry? Can we make every Indian fly at least once a year by the time we celebrate the 100th year of Independence?

We need to think and dream big. And dreams, to be realised, must be combined with flawless and speedy execution and accompanied by deep reforms.

Let us trace our own recent trajectory with particular focus on aviation.

The reforms that opened up the aviation sector in 1991 by ending the Licence Raj and the monopoly of Indian Airlines and Air India changed the sector. Many private airlines were given licence to fly, but only two—Jet Airways and Sahara—survived, resulting in cartelisation. Again, when low-cost airlines took wings in 2003, they broke the cost and caste barrier to flying by penetrating deep into the hinterland. That resulted in an explosion of demand that enabled common people to fly.

Sadly, while all sectors have grown by leaps and bounds over the years, aviation has become “the sick man of India”. Thanks to choking regulations, tough entry barriers for new entrants, high fuel prices abetted by sky-high taxes, inefficient public sector airports paving the way for monopoly of private airports, and the lack of a long-term strategic policy devoid of frequent knee-jerk changes, aviation’s growth has slumped again.

Our bilaterals, and open sky policies must be rethought boldly and imaginatively so that the Delhi, Bombay, Bengaluru, Chennai and Kolkata airports can become mega transportation hubs like Dubai and Singapore. India is strategically located to link the West and Middle East to the Far East.

Besides, 140 million air tickets were bought in 2019. Five years hence, we are struggling to cross 200 million. To be sure, the 2019 figure does not imply 140 million individuals bought tickets. It comprises 35-40 million frequent flyers, who form the bulk of ticket buyers. That translates to less than 4% of the population who can afford air travel, placing India alongside some poorer African countries in terms of per capita consumption of air tickets.

Brazil had sales of 119 million tickets for a population 215 million; Malaysia saw 63 million ticket sales for a population 33 million; in Indonesia, it was 116 million tickets for a population of 280 million, and in China it was 660 million tickets for 1.3 billion people.

In 2002, I imagined a new vibrant India that had unleashed consumer aspirations in the wake of the reforms. On a Southwest Airlines flight in Phoenix, US, a heavily tattooed burly man in shorts sat next to me, and I learnt that he was a carpenter. That was my moment of epiphany. I decided India was ready and launched a low-cost airline on a wing and a prayer. It was a crazy idea, but the atmosphere was conducive.

Entrepreneurs break the status